The North Star Metric Examples

Company	Category	Bad NSM	Actual NSM	Game
facebook	Social media	Daily posts	Daily active users	Attention
Spotify	SaaS, music	The number of Subscribers	Time spent listening to music	Attention
amazon	E-commerce	Monthly Revenue	The number of orders per month	Transaction
Uber	Rides	The number of installs	The number of rides per week	Transaction
loom	SaaS, video sharing	LTV/CAC	Videos with a view	Productivity
airbnb	Booking platform	Time spent using the app	Nights booked	Transaction
tinder	Dating app	The number of swipes right	Matches made	Transaction
fitbit	Wearable fitness products	The number of products sold	Steps made	Productivity
Dropbox	File hosting	The number of paid customers	Files saved	Productivity
Canva	Graphic design	The number of projects created	Happy, active users	Productivity
YouTube	Video	The number of videos uploaded	Time spent watching videos	Attention
WhatsApp	Messaging	The number of accounts	Messages send	Productivity
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NETFLIX	SaaS, video streaming	The number of subscribers	Weekly viewing hours	Attention

The North Star Framework 101

Growing your product can often feel overwhelming.

Every day, you and your teams - engineering, design, marketing, sales, growth, or success - must make dozens of small decisions, experiment, measure the outcomes, and adapt. If they are not perfectly aligned, it's like a body with each limb moving independently - you can't even take a step forward.

You might wonder:

- *“How do we know where to go?”*
- *“How can we measure our progress?”*
- *“Are going to succeed?”*

It would be great to have a compass that always points in the right direction. It would help empower your teams to make better, autonomous decisions.

A true North Star.

In this issue, you will learn:

1. What is the North Star Metric + examples?
2. North Star Metric - common misconceptions
3. North Star Metric - recommended classification
4. Premium: The North Star Framework
5. Premium: North Star Metric vs. One Metric That Matters (OMTM)
6. Premium: Practical tips and advice
7. Premium: Recommended content

1. What is the North Star Metric + examples?

The North Star Metric is an extremely simple, powerful concept. But it's largely misunderstood.

The term has been popularized by Sean Ellis. Sean is also known for coining "growth hacking" while being a growth marketer at Dropbox. In his talks, Sean often points out a recurring issue in product management:

> It’s common for a product's revenue to continue growing rapidly while the value provided to customers doesn't follow the same trajectory. Over time, this can lead to a sudden crash in revenue.

Let's imagine you have a Substack newsletter, and you are solely focused on acquiring new subscribers. You get 50 new paid subscribers every month, which seems promising. As a result, you decide to quit your job to become a full-time content creator.

On the surface, everything seems promising as your MRR (Monthly Recurring Revenue) continues to rise. But one day, you discover that only 10% of paid subscribers read at least one article every month. Your content fails to provide value to users, and there's a significant risk that they will soon cancel their subscriptions.

> This is why the most successful product companies select and optimize for a metric that truly reflects the value customers derive from their products.

Let’s take Netflix as an example:

- A possible wrong approach would be to focus solely on the number of paid subscribers. The most profitable short-term scenario would be if everyone bought a subscription but didn't watch anything. In that case, Netflix wouldn't even have to scale its infrastructure.
- The actual approach of Netflix is to focus on the number of weekly viewing hours. They understood that by increasing the viewing hours, let's say, by 50% year after year, they are likely to sustain their revenue growth in the long term.

Now let's go back to the newsletter we imagined earlier. What can be improved?

Instead of obsessing over acquisition, a better approach might be to focus on the statistics related to reading your content. The more valuable people find it, the more likely they are to continue their subscriptions. Some might even become your ambassadors.

1.1 What is the North Star Metric?

> North Star Metric is a tool to drive your product's growth. In the Growth Hacking world, North Star Metric:
>
> - Is a single metric. The goal is to create focus.
> - Is easy to understand, enabling everyone to speak the same language.
> - Is customer-centric. Reflects how customers get value from the product.
> - Ideally ensures the value is sustainable, typically by forming habits.
> - Represents your progress toward vision / mission, fostering alignment among your teams and inspiring them to move in the same direction.
> - Is quantitative. It relies on numbers, not opinions.
> - Is actionable. Whether it increases or decreases, you will take action based on it. Otherwise, what's the point of tracking it?
> - Serves as a leading indicator of your long-term business success.

1.2 North Star Metric examples

Let's consider 14 companies. For each company, I have specified a potential misconception and the actual North Star Metric (NSM). Can you justify it?

In particular, ask yourself:

- Does this metric truly reflect customer value?
- Does this metric help in forming habits?
- Does this metric inspire the teams working on the product?
- Does this metric indicate long-term business success?

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2. North Star Metric - common misconceptions

The term "North Star Metric" has gained popularity, leading some to use it to label any metric they can track.

However, it is important to clarify what the North Star Metric is not:

- **A few metrics**. While a company may select a few key metrics, referring to them as "North Star Metrics" is a misunderstanding. After all, have you ever seen multiple North Stars in the sky?
- **A metric focused on business value**, like a Monthly Recurring Revenue (MRR) or LTV/CAC. This overlooks the essential aspect of being customer-centric. Besides, can your team truly get excited about solely growing revenue? Even if a company has a valid reason to prioritize MRR as a key metric, it would not qualify as a North Star Metric.
- **An Objective Key Result (OKR)** - OKR is a goal-setting technique. You can use OKR to express an expected mid-term change in the Nort Star Metric or one of the input metrics. However, it is important not to confuse these terms. More: Beware of OKRs. 90% of companies use them wrong.
- **A strategy** - A strategy is a cohesive set of choices, such as a Value Proposition, that reinforce one another and enable you to succeed in your chosen playing field. While your North Star Metric must align with your strategy, it is essential to understand that these are separate concepts. More: Introducing the Product Strategy Canvas.

3. North Star Metric - recommended classification

I've come across various attempts to classify North Star Metrics, but the best one I've found is proposed by Amplitude. The company has done a fantastic job researching products at over 11,000 companies and has identified three games companies are likely to play.

Depending on the game you are playing, you might want to focus on:

⚡ **Attention** - Attention: How much time do your customers want to spend using your product? The time and recurrent use of a product can indicate the value people derive from it.

🎁 **Transaction** - How many transactions do your customers make in your product? Your goal is to assist customers in finding the right product quickly and easily.

💼 **Productivity** - How efficiently and effectively can someone do their work? Your goal is to help customers with specific tasks.

Now, let's take another look at the 14 companies:

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When considering Tinder, one could argue that it plays the transaction game, even though people are not products. Take a moment to reflect on the three categories mentioned earlier and determine which one aligns best with optimizing "Matches made."

> Identifying the game you are playing is the first step toward finding your North Star Metric.

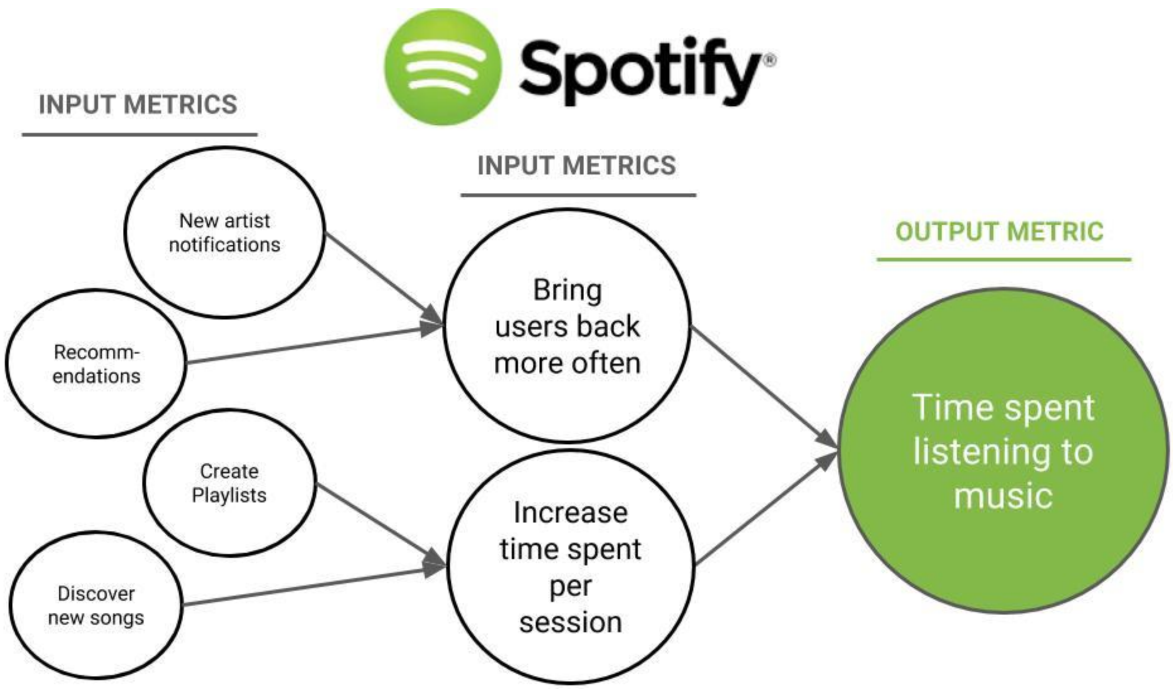
4. The North Star Framework

The North Star Framework was developed based on the North Star Metric. Although there is no official playbook, what many approaches have in common is identifying:

4.1 Input metrics

Input Metrics are additional metrics that, as we believe, influence the North Star Metric the most. It's often called "a constellation" (love the term).

An example might be Spotify's input metrics breakdown:



Input metrics for Spotify. Source: https://growwithward.com/north-star-metric/

Some, like Amplitude, suggest limiting the number of Input Metrics to 3-5 elements and only one level.

I agree that 3-5 Input Metrics at the highest level should be the maximum. Anything more than that would be virtually impossible to track.

However, I do find value in having multiple layers of Input Metrics. The North Star Metric or one of the key Input Metrics might be too high-level for a specific team. In such cases, it's important to have a metric that the team can directly influence.

Change in that metric might be interpreted as a desired Product Outcome, which we also discussed in the Continuous Product Discovery Masterclass, or as part of OKR. It also aligns well with the concept of layers in One Metric That Matters (OMTM), which I will discuss later in this issue.

4.2 Identifying mid-term and long-term impact

As we have already defined, the North Star Metric should be a leading indicator of long-term business success.

It can be beneficial to define how exactly our North Star Metric will influence your business goals, such as revenue, LTV/CAC, and churn rate, and how it will help sustain those results.

> An interesting approach is to formulate this relationship as a hypothesis.

For example, let's try with Spotify:

"We believe that increasing the time paid users spend listening to music:

- *By 2 hours/week will reduce the churn rate by at least 30%.*
- *By 3 hours/week will reduce the churn rate by at least 40%.*
- *By 4 hours/week will reduce the churn rate by at least 50%.*

This will be observed within 3 months for a group of users who started spending more time listening to music."

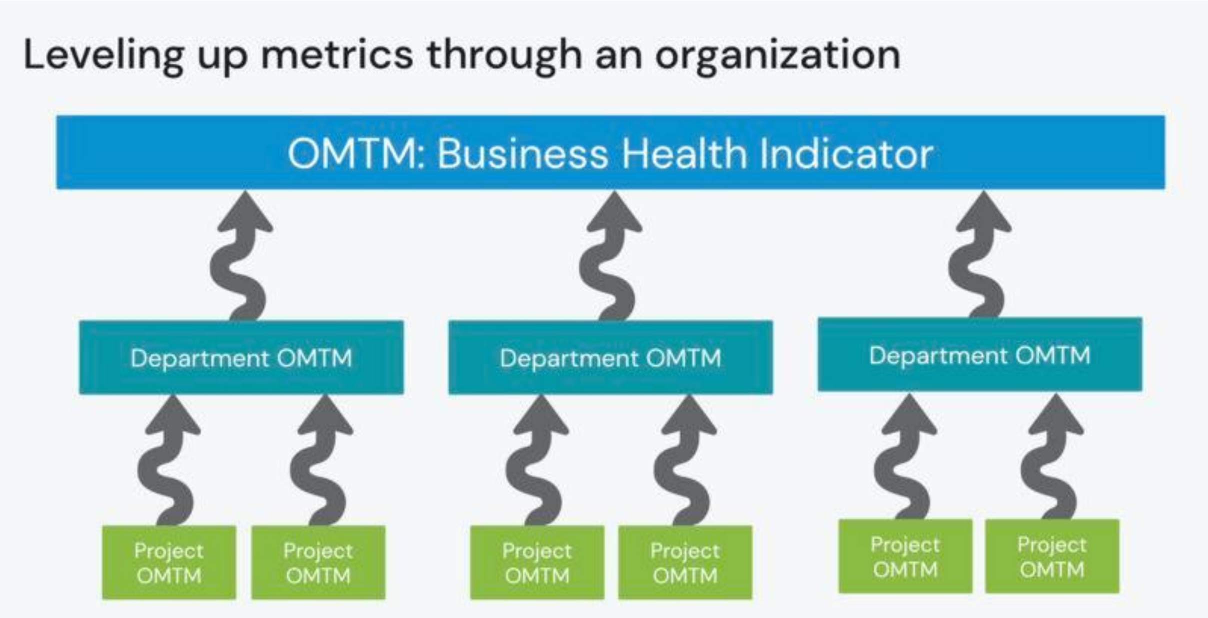
A hypothesis is useful because it can be tested. However, be cautious not to confuse correlation with causation. I would typically interview customers to gain deeper insights and understand their motivations.

Do they perceive your product as more valuable than before? Are there any external events that may have influenced their behavior, such as a lockdown?

> Quantitative data is excellent for tracking user behavior, but it is insufficient to explain their motivations. You need both quantitative and qualitative insights.

5. North Star Metric vs. One Metric That Matters (OMTM)

In his article, Ben Yoskovitz presented a diagram that illustrates how one One Metric That Matters (OMTM) bubbles up to another, eventually leading to a business health indicator:



This reminds me of the North Star Metric (NSM) and its Input Metrics.

Many characteristics of a good OMTM, such as being actionable, comparable, easy to understand, and the need to base decisions on leading indicators, are also characteristics of a good North Star Metric.

> **While OMTM and NSM can be the same, they don't have to be.**

OMTM has its roots in the Lean Startup movement. It focuses on navigating through different growth stages, known as "Lean Analytics Stages," in a startup: Empathy, Stickiness, Virality, Revenue, and Scale. The OMTM is the specific metric you focus on for your current stage.

On the other hand, the North Star Metric centers around the core value that customers derive from the product, regardless of the growth stage. According to Sean Ellis's definition, it should not be directly linked to a value created for the business.

I find insights related to both OMTM and NSM to be extremely valuable. For further exploration, I recommend reading Lean Analytics.

6. Practical tips and advice

Here are some practical tips:

- **The North Star Metric is perfectly aligned with Product-Led Growth.** I would argue that using these techniques together is essential. It's not just about creating value for your customers; it's crucial that they can quickly and easily experience the promised value (aka "Aha moment"). You should double down on reducing any friction in the onboarding process.

- When building a new product, it's essential to **achieve the product-market fit before focusing on growth**. Having a product that provides significant customer value is crucial for sustainable growth. As Dan Olsen defined it in The Lean Product Playbook, "My definition of product-market fit (…) is that you have built a product that creates significant customer value. This means that your product meets real customer needs and does so in a way that is better than the alternatives."

- Having a product that delivers value is not enough. You are much more likely to acquire and retain your customers long-term if you **take care of driving usage and building habits**. A good example might be Uber which initially offered incentives to attract and retain customers, eventually making it a part of their everyday lives.

7. Recommended content

More information:

1. [Book] Hacking Growth by Sean Ellis and Morgan Brown
2. [YouTube] Sean Ellis On Growth Hacking
3. [Podcast] Canvas' Happy Active Users with Georgia Vidler, Canva Former Head of Product
4. [PDF] Finding Your North Star by Amplitude
5. [Book] Lean Analytics by Ben Yoskovitz and Alistair Croll
6. [Article] How to Use the Right Metrics to Motivate Employees & Improve Startup Success by Ben Yoskovitz

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Take care, Paweł

Paweł Huryn, Author, Product Coach